

GENERAL FIELD OFFICE MANUAL OF OPERATIONS



PARTNERS *of the* AMERICAS

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1. Introduction

1.1 Purpose and Scope

The purpose of this manual is to provide a general framework and standardized set of policies and procedures for financial management and accounting in Partners of the Americas field offices.

Field offices are expected to comply with the policies and procedures set forth in this manual and are encouraged to seek clarifications if questions arise. Field offices, (including sub-offices), must maintain a printed copy of the manual for reference.

All field offices will be required to have a supplemental manual that addresses country specific laws, regulations and policies set by the Field Office Director*.

*While not all countries may have a specific Field Office Director and/or Field Office Finance Manager, a brief description of their roles is listed below. Please note that depending on the field office they may have slightly different positions and/or titles, but the handbook should be used as a guide for those overseeing the field office operations and finances in country regardless of their specific title.

- Field Office (FO) Director (Project Director, Chief of Party, etc.) – This individual is the lead field office operations director in country. They are responsible for overall project/program management and the operations of the field on a day to day basis.
- Field Office (FO) Finance Manager (Finance Director, Finance & Administration Assistant, etc.) – This individual is the person responsible for all the finance operations and internal controls for the in-country field office.

1.2 Financial Management Control for Field Office Manual

The Chief Financial Officer (CFO) is the authority on this Field Office Manual, or in absence of the CFO, an individual designated by the President and CEO. Field offices are encouraged to provide input, suggestions and corrections, but may not alter or change any part of this manual.

Once annually the manual will be reviewed and updated (if applicable) to reflect current circumstances as well as new policies and procedures. Field offices will be notified of updates by e-mail.

1.3 Financial Management Control for Field Office Supplemental Manuals

Since Partners Headquarters (Partners HQ) works in more than one country overseas, a field office supplemental manual covering the unique circumstances in each respective country supplements this manual. The field office supplemental manual may not supersede this manual, and should be considered only as a supplement. For all new projects overseas after June 30, 2017, all field office supplemental manuals must be reviewed and approved by the Finance & Administration (HQ F&A) Team in Washington D.C.

Once annually the field office supplemental manual will need to be reviewed and updated (if applicable) to reflect current circumstances as well as new policies and procedures. Field offices will be required to send all changes to Partners HQ to be reviewed and approved by the HQ F&A Team.

1.4 Finance Roles and Responsibilities

The FO Finance Manager serves as a technical support function to each program. Partners HQ and the field are expected to work as a team to provide effective and efficient financial field reports.

It is also the responsibility of both Partners HQ & the FO Finance Manager to ensure that Partners HQ's policies as well as donor regulations are strictly followed. FO Finance Managers are accountable for compliance in their field offices and are required to notify Partners HQ of any non-compliance situations.

In general terms, the role of the FO Finance Manager is to:

- Manage all accounting and finance functions in the field office and submit monthly financial reports, bank statements and reconciliations to HQ F&A Team.
- Develop local policies and procedures to ensure the proper management of Partners HQ financial resources.

- Ensure daily compliance at the field level with Partners HQ's policies and procedures as well as donor regulations.
- Maintain and enhance financial systems in field offices.
- Comply with any in-country audit requirements and support HQ F&A Team in the annual organizational audit.

The role of HQ F&A Team is to:

- Review field financial data in conjunction with the Partners HQ for accuracy and completeness and consolidate Partners HQ global financials.
- Develop organization-wide policies and procedures to ensure the proper management of Partners HQ's financial resources.
- Generate external financial reporting, including donor reports and other statutory reporting requirements.
- Ensure overall compliance with Partners HQ's policies and procedures as well as donor regulations.
- Provide overall grant management support, including maintaining fund balance records, managing funds flow between Partners HQ and the donor, developing indirect cost rates and reviewing proposal budgets and agreements.
- Provide training and set-up of financial systems in the field office.
- Manage the annual organizational financial audit and provide support to field offices as needed for local audits.

2. Internal Controls

2.1 Purpose and Scope

The purpose of Internal Controls is to provide reasonable assurance that the following objectives are being accomplished:

- Reliability and integrity of information
- Compliance with policies, plans, procedures, laws and regulations
- Safeguarding of assets in field offices

- Economical and efficient use of resources
- Accomplishment of established objectives and goals for operations and programs

2.2 Basic Internal Controls

The following is a list of basic internal controls that is recommended for all field offices. While this list is not all inclusive, it provides the general framework for a solid internal controls system.

- Segregation of Duties- Responsibilities should be divided between different employees so that one individual does not control all aspects of a transaction to reduce the opportunity for fraud or concealment of errors whether intentional or unintentional.
- Signature Requirements – By requiring signatures, unauthorized transactions are prevented, and accountability is established. For example, a purchase request signed by the program manager ensures that he or she is aware of the purchase and accepts the subsequent charge to the program.
- Conflict of Interest - The purpose of a conflict of interest policy is to protect Partners HQ's and its field office's interest when determining whether to enter into a transaction or arrangement that might benefit the private interest of one of its officers or directors, or might result in a possible excess benefit transaction. All field office should have a conflict of interest policy in place. HQ F&A team can provide a sample policy upon request.
- Documentation- Preservation of original invoices, receipts, bank statements, contracts, employment agreements, etc., required to record the use, commitment or transfer of resources enables a transaction to be traced from inception to completion. Written policies and procedures that document the principles and methods that employees rely on to perform their jobs.

- Authorization & Approval- Documentation and communication to personnel of activities requiring approval and the persons authorized to approve activities.
- Security of Assets- Secure and restrict the access to equipment, cash, inventory and confidential information to reduce the risk of loss or unauthorized use. Monthly bank reconciliations; periodic physical inventories to verify existence of assets.
- Physical Controls- Measures should be taken to verify the existence of assets reported on the field office's books and records, such as an annual equipment inventory.
- Monitoring and Independent Checks – Cross-checks and spot checks should be made by both Partners HQ and the FO Director to ensure that policies and procedures are followed. Some examples would be a monitoring visit to a program site, an internal audit of a field office or a surprise cash count.
- Dual Controls – Double-checks or reviews should be performed to ensure that critical decisions, high-value transactions or external reports are substantially correct. For example, bank transactions should be made only upon the authorization of two parties and external financial reports should always be reviewed by a second person for accuracy.
- Computer-Related Controls– Access to computer records should be restricted and the backup of key information should be performed. Access to financial system files, for example, should be restricted to prevent intentional or unintentional changes to data.
- Fixed Responsibility for Resources- Access to resources should be restricted to specific individuals and those individuals should have authority over those resources. For example, only one or two employees should have keys to the cash box.
- Reconciliation & Review- Timely reconciliation and review of accounting transactions to verify accuracy, completeness, appropriateness and compliance with organizational policies and procedures.

- Regular and Timely Reporting - Accounting and reporting functions should be specifically assigned to staff members and employees should be held accountable for timely and accurate reporting. Completion of functions should be documented with appropriate working papers that are available for inspection and are verifiable through signatures and dates.
- Independent Confirmations - Internally generated reports and documents should be reconciled to independent sources of information and proofs of accuracy should be performed on work at various stages of completion. An example would be reconciling the bank journal balance to an account statement obtained from the bank.
- Approval Authority -Another critical internal control that must be developed and documented for each program is the Approval Authority Matrix which designates who sign all Sub grant Agreements, Contracts, Human Resource Contracts, Consulting Agreements, etc. This schedule defines the individuals authorized to approve activities or transactions at various levels and identify the limits per transaction. The importance of a well-defined approval authority matrix cannot be over-emphasized since it eliminates confusion over roles and responsibilities and ensures accountability at all levels. Assigning levels of authority should be considered carefully, as too wide an authority may not provide enough control and too strict an authority may create unnecessary administrative bottlenecks. See section 2.3 below for additional guidelines.
- Manuals- Policies and procedures should be written to provide a clear understanding of functions and authorities. All manuals should be reviewed and approved by Partners HQ.

2.3 Approval Authority

It is the responsibility of the FO Director to assign approval authorities and levels for each field office. Certain authorities must be reserved for Partners HQ, but all other authorities will be held by the FO Director.

It is critical that an employee is informed of his or her level of authority when employment begins and when changes are made to the authority. The employee's supervisor must convey this information, with the ultimate responsibility for informing employees resting with the FO Director.

The FO Finance Manager, supported by the FO Director, has responsibility for enforcing approval authority. This is an important function of the financial review of all pre-approval requests, commitments or payment documents. Payments may not be made until the proper authority has been secured and any discrepancies are resolved. The FO Finance Manager is responsible for referring matters back to Partners HQ where approval authority is unclear or when assistance is needed in resolving issues in this area.

2.3.1 Responsibilities of Approval and Review Authorities

It critical that approval authority holders not only understand what their authority levels are, but also what their responsibilities are in using their authority. The responsibilities for both approval authority holders and financial review are outlined below.

By approving an expenditure, commitment or payment, the signer is confirming that:

1. The expenditure is necessary and appropriate;
2. The item is not currently in stock or available;
3. The technical specifications are correct and adequately detailed;
4. The required forms are complete;
5. Funds are available within the budget;
6. The expenditure is in compliance with Partners HQ's policies and procedures.

Financial review is a compliance check and not an approval authority. The primary purpose of financial review is to ensure that all financial and compliance aspects of the commitment are considered. The FO Finance Manager, when signing off, is confirming that:

1. The expense has been authorized by the appropriate authorizer;
2. The expenditure is within budget guidelines;
3. The expenditure is in compliance with Partners HQ and donor policies;
4. The expense has been coded correctly;
5. The calculations are correct;
6. The required supporting documentation is in order and adequately explains the transaction; and
7. All payments, whether by check, wire transfer, etc. are being paid to the party which appears on the procurement records and/or other approval documentation. Checks or transfers may not be made out to third parties or any Partners' employees (either Partners HQ or field office) to be cashed on behalf of the vendor. Any exceptions must be approved in writing by the Chief Financial Officer or President.

An original signature on an original document is the preferred method of documenting an approval or review. Accordingly, when authority holders are located in the field office where an approval is required, the original document must be approved in writing with an original signature.

When the authority holder is not located in the field office or where an approval is required due to a temporary absence (on travel, vacation, sick, etc.), the next level of authority in that office should be sought for approvals that the absent party would have normally made.

When the authority holder is permanently located outside of the office where an approval is required or is the only one authorized for a particular approval and they are out of office, an approval via e-mail is acceptable. E-mail approvals shall adhere to one of the following procedures, in order of preference:

1. Scanned Signature - Whenever possible, the document to be signed should be printed, signed and scanned and the scanned copy should be sent back to the office requiring the approval. The scanned document must then be printed and attached.

2. E-mail Confirmation - When scanning is not possible, an e-mail from the authorized party should be sent back to the party requesting approval clearly confirming the approval and the total amount approved. The e-mail must then be printed and attached to the original document. In the space provided for the signature on the original document, "E-mail Approval Attached" must be written in lieu of the signature.

2.4 Reconciliation of Assets and Liabilities Accounts

All the assets and liabilities accounts (i.e. cash, accounts receivable, accounts payable and other balance sheet accounts) must be properly reconciled on a monthly basis. Evidence of the reconciliation should be maintained in the field office for inspection by Partners HQ and for the annual examination by the auditors. This evidence should include all supporting schedules prepared by the FO Finance Manager and approved by the FO Director prior to the submission of the field office reports to Partners HQ, or presentation to the auditors during the audit process.

3. Suspension and Debarment

3.1 Purpose and Scope

Debarment and suspension are actions taken by the federal government against organizations or individuals who have committed fraud or a criminal offense in violation of federal law. Both Partners HQ and all field offices must certify that employees, contractors and sub-grantee who have been suspended, debarred or charged with criminal activity will not be allowed to administer federal funds on behalf of Partners HQ or its field offices. In addition, it is both Partners HQ and the all field offices responsibility to ensure that any recipient of funds must not engage in transactions with, or provide resources or support to, individuals and organizations associated with terrorism. This policy applies to all officers, directors, shareholders, employees and appointed third party representatives of both Partners HQ and all field offices (including but not limited to agents, intermediaries, sub-awardees, consultants, etc.) in all locations. Violation of this policy will be severely sanctioned.

3.2 System of Award Management (SAM) Check Via Visual Compliance

Any recipient of funds must not transact or conduct business with any individual or entity that has an active exclusion on the System for Award Management (SAM) (www.sam.gov). The list contains those individuals and entities that the U.S. Government has suspended or debarred based on misconduct or a determination by the U.S. Government that the person or entity cannot be trusted to safeguard U.S. Government funds. Suspended or debarred entities or individuals are excluded from receiving any new work or any additional U.S. Government funding for the duration of the exclusion period. Partners HQ or any field office may disallow costs, annul or terminate the transaction, debar or suspend the recipient, or take other remedies as appropriate, if any recipient violates this provision.

The field office must notify Partners HQ immediately upon learning that it or any of its principals, at any time prior to or during the duration of this award:

- a. Are presently excluded or disqualified from doing business with any U.S. Government entity;
- b. Have been convicted or found liable within the preceding three years for committing any offense indicating a lack of business integrity or business honesty such as fraud, embezzlement, theft, forgery, bribery or lying;
- c. Are presently indicted for or otherwise criminally or civilly charged by any governmental entity for any of the offenses enumerated in paragraph c.(2); or
- d. Have had one or more U.S.-funded agreements terminated for cause or default within the preceding three years.

Principal means—

- a. An officer, director, owner, partner, principal investigator, or other person within a participant with management or supervisory responsibilities related to a covered transaction; or
- b. A consultant or other person, whether or not employed by the participant or paid with Federal funds, who—
 - i. Is in a position to handle Federal funds;
 - ii. Is in a position to influence or control the use of those funds; or,

- iii. Occupies a technical or professional position capable of substantially influencing the development or outcome of an activity required to perform the covered transaction.

Partners HQ, in accordance with Federal regulation, requires that all Field Offices run a Visual Compliance check on all recipients (individuals and entities) who are receiving any funds. The website for Visual Compliance is: <https://www.visualcompliance.com> and the necessary login information will be provided by Partner HQ. Proof that the Visual Compliance check was done must be retained and kept along with proof of the payment, prior to the recipient receiving any funds. The Visual Compliance check must be run at a minimum, once per calendar year (January – December) on the first payment of the year in order to be compliant.

3.3 Preventing Terrorist Financing

Any recipient of funds must not engage in transactions with, or provide resources or support to, individuals and organizations associated with terrorism including those individuals or entities that appear on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Treasury (online at: <http://www.treasury.gov/resource-center/sanctions/SDNList/Pages/default.aspx>) or the United Nations Security Designation List (online at: https://www.un.org/sc/suborg/en/sanctions/1267/aq_sanctions_list).

Partners HQ, in accordance with Federal regulation, requires that all field offices check all recipients (individuals and entities) who are receiving any funds to ensure they do not appear on the Specially Designated Nationals and Blocked Persons List or the United Nations Security Designation List.

4. Anti-Corruption Policy

4.1 Purpose and Scope

The Anti-Corruption Policy outlines the principles that Partners HQ, its field office, and its affiliates follow to achieve zero-tolerance against bribery and corruption. The objective of the anti-corruption policy is to ensure that appropriate anti-corruption and bribery procedures are in place to avoid any violations of relevant laws and regulations. This policy

applies to all officers, directors, shareholders, employees and appointed third party representatives of Partners HQ and all field offices (including but not limited to agents, intermediaries, sub-awardees, consultants, etc.) in all locations. Violation of this policy will be severely sanctioned.

4.2 Responsibilities

All staff, contractors and sub-grantees of Partners HQ are responsible for:

- Enforcing the Anti-Corruption Policy;
- The preliminary assessment of suspected corruption; and
- Notifying the HQ F&A team if they are aware of any corrupt activities as required by this policy.

The HQ F&A team is responsible for:

- Assembling the inquiry team;
- Monitoring the progress of the inquiry;
- The inquiry report, including recommendations to prevent future occurrences and for recovery of losses, if any;
- Reporting the results of the corruption inquiry to Partners HQ; and
- Ensuring the implementation of the internal inquiry report recommendations.

The CEO/President is responsible for:

- Notifying and communicating with Board the outcome of any enquiry;
- Ensuring the inquiry team is independent and has access to adequate technical expertise if such expertise is not available in the field office;
- Reviewing the inquiry plan to ensure it addresses all areas necessary for resolution of the allegations;
- Monitoring the progress of the inquiry;
- Approving the final internal inquiry report;
- Approving any terminations of staff as a result of the inquiry; and
- Ensuring recommendations in the final internal inquiry report are implemented.

No communications with donors, external auditors or government authorities (except law enforcement) about the allegations or inquiries may be made unless written permission is received first from the Chief Financial Officer or the President. When preparing proposed communication, care must be taken that only information which is accurate, complete and has been reviewed by Partners HQ is provided to donors. We do not want to provide donors with hearsay, estimates or conjecture which may prove later to be inaccurate or unrelated to their funding.

4.3 Protection from Retaliation

An employee who has made a report of questionable conduct and who subsequently believes he or she has been subjected to retaliation of any kind by any Partners HQ employee is directed to immediately report it to the FO Director and, if applicable, Partners HQ. Reports of retaliation will be investigated promptly in a manner intended to protect confidentiality as much as practicable, consistent with a full and fair inquiry. The party conducting the inquiry will notify the employee of the results of the inquiry. Partners HQ strongly disapproves of and will not tolerate any form of retaliation against employees who, in good faith, report issues regarding the misuse of Partners HQ or field office assets. Any employee who engages in such retaliation will be subject to discipline up to and including termination of the employee.

5. Non-Discrimination

5.1 Purpose and Scope

Partners HQ strives to promote diversity and equal opportunity in all operations in accordance with all applicable Federal and local law requirements. Therefore, Partners HQ has adopted the below policies on nondiscrimination. This policy applies to all officers, directors, shareholders, employees and appointed third party representatives of Partners HQ (including but not limited to agents, intermediaries, sub-awardees, consultants, etc.) in all locations.

5.2 Nondiscrimination against Beneficiaries

Based on law and Executive Order, Partners HQ and the US Government (USG) prohibits discrimination, including harassment, in its own workplace on the basis of race, color, religion, sex (including pregnancy and gender identity), national origin, disability, age, veteran's status, sexual orientation, genetic information, marital status, parental status, political affiliation, and any other conduct that does not adversely affect the performance of the individual, entity or other beneficiary. Partners HQ and USG policy requires that any recipient not discriminate against any beneficiaries in implementation, such as, but not limited to, by withholding, adversely impacting, or denying equitable access to the benefits provided through this award on the basis of any factor not expressly stated in the award. Nothing in this provision is intended to limit the ability of the recipient to target activities toward the assistance needs of certain populations as defined in the award.

In addition, Partners HQ strongly encourages its recipients and their subrecipients and vendors (at all tiers), performing both in the U.S. and overseas, to develop and enforce comprehensive nondiscrimination policies for their workplaces that include protection for all their employees on these expanded bases, subject to applicable law. Anyone found to be engaging in any type of unlawful discrimination will be subject to disciplinary action as deemed appropriate.

5.3 Equal Participation by Faith-Based Organizations

Faith-based organizations are eligible, on the same basis as any other organization, to participate in any federally funded program for which they are otherwise eligible. Neither Partners HQ nor its field office shall discriminate for or against an organization on the basis of the organization's religious character or affiliation. Additionally, religious organizations shall not be disqualified from participating in federally funded programs because such organizations are motivated or influenced by religious faith to provide social services, or because of their religious character or affiliation. Decisions about awards of federally funded financial assistance must be free from political interference or even the appearance of such interference. Awards must be made on the basis of merit, not the basis of the religious affiliation of an applicant, or lack thereof.

6. Audits & Record Retention

6.1 Purpose and Scope

The purpose of audits is to provide impartial opinions and assessments of the field office records, processes and procedures. The purpose of the record retention schedule is to designate the appropriate length of time to maintain official records and accounting documents.

6.2 Record Retention and Accounting

The field office must maintain financial records, supporting documents, statistical records and all other records, to support performance of, and charges to, the project. Such records must comply with accounting principles generally accepted in the U.S., the local country, or by the International Accounting Standards Board (a subsidiary of the International Financial Reporting Standards Foundation). Accounting records and supporting documentation must, at a minimum, be adequate to show all costs incurred under the project; receipt and use of goods and services acquired under the project; the costs of the program supplied from other sources; and the overall progress of the program. The field office records and any subrecipient records that pertain to the project must be retained in country for a minimum period of three years from the date of submission of the final expenditure report; however, depending on the country it could be longer. Any record retention by the field office beyond the three-year minimum will be noted in the field office supplemental manual.

After three years of record retention in country is completed (unless another longer length of time is required based on the country), the field office will need to work with Partners HQ to transport the necessary documents to the international office. Depending on the type of records Partners HQ will determine if they will either be kept for seven years from the end of the program or kept permanently in accordance with Partners HQ Record Retention policy and any donor requirements.

6.3 Filing & Records

The FO Director is responsible for establishing guidelines and procedures for filing. In addition, they are responsible for maintaining the general filing system or appointing

another member of the management team to assist in this process. This responsibility includes:

- Ensuring that current records are complete properly organized and appropriately stored.
- Ensuring that the filing systems used is simple, applied consistently and logical in the context used.
- Safeguarding and maintaining control over the financial record archived.
- Ensuring the timely retrieval and subsequent re-filing and re-securing of any records requested for audit or inspection.
- Confirming that all filing cabinets are to be kept locked when not in use.

Records serve as basic evidence that a transaction took place and that Partners HQ, field office and donor policies were all followed. Missing or inadequate records can result in audit findings and costly disallowances, as well as a loss of trust from donors. Field offices must therefore take care to ensure that all records are safeguarded from loss or misuse.

It is Partners HQ's policy that financial records in field offices must be kept in offices, storage containers or cabinets which are secure and can be locked. Key access to this storage must be restricted to authorized personnel only. Destroying financial records is strictly prohibited.

6.4 Audits

All field offices must have an annual audit conducted in accordance with the "Guidelines for Financial Audits Contracted by Foreign Recipients", for any fiscal year (January – December) in which the field office expends a combined total of \$750,000 or more in all Federal awards, either directly or through another contractor or recipient, excluding fixed price contracts or fixed obligation grants, unless another written threshold has been provided by the awarding agency.

- A. The audit report must be submitted to Partners HQ within 30 days after receipt of the auditor's report, but no later than six months after the end of the period audited.

- B. Partners HQ will review this report to determine whether it complies with the audit requirements of the award. USG funds will only pay for the cost of audits conducted in accordance with the terms of each respective project.
- C. In cases of continued inability or unwillingness to have an audit performed in accordance with the terms of this provision, Partners HQ will consider appropriate sanctions which may include suspension of all, or a percentage of, disbursements until the audit is satisfactorily completed.

The field office is not required to have an annual audit for any fiscal year in which the field office expends a combined total of less than \$750,000 in all federal awards, either directly or through a prime contractor or recipient, excluding fixed price contracts or fixed obligation grants, unless another written threshold has been provided by the awarding agency. The field office must make records pertaining to the project for that fiscal year available for review by Partners HQ or federal officials or their designees upon request.

Any donor can make a request and has the right to conduct an audit any time during the life of a project/program that the donor funds.

Partners HQ retains the right to conduct a financial review, require an audit, or otherwise ensure adequate accountability of organizations expending federal funds, regardless of the audit requirements above.

6.5 Audits on Subawards and Contracts

If the field office provides federal resources to other organizations to carry out the federally financed program and activities, the field office is responsible for monitoring such subrecipients or contractors. The costs for subrecipient audits for organizations that meet the threshold set above are allowable. The costs for subrecipient audits for organizations that do not meet the threshold set above are allowable only for the following types of compliance audits: activities allowed or unallowed; allowable costs/cost principles; eligibility; cost share; level of effort; earmarking; and reporting.

This provision must be incorporated in its entirety into all subawards and contracts with non-U.S. organizations that are for more than \$10,000 in the field office. Subawards of grants

and cooperative agreements made to U.S. organizations must state that the U.S. organization is subject to the audit requirements contained in 2 CFR 200, subpart F.

7. Equipment and Supplies

7.1 Purpose and Scope

The purpose is to establish a clear definition and monetary threshold for items that are considered capital expenditures, equipment and supplies which applies to all purchases.

7.2 Definitions

- **Equipment** means tangible personal property (including information technology systems) having a useful life of more than one year and a per-unit acquisition cost which equals or exceeds USD \$5,000.
- **Supplies** means all tangible personal property other than those described in equipment (above). A computing device (computers, etc.) is a supply if the acquisition cost is less than USD \$5,000, regardless of the length of its useful life.
- **Capital assets** means tangible or intangible assets used in operations having a useful life of more than one year which are capitalized in accordance with Generally Accepted Accounting Principles (GAAP). Capital assets include: (a) Land, buildings (facilities), equipment (as defined above), and intellectual property (including software) whether acquired by purchase, construction, manufacture, lease-purchase, exchange, or through capital leases; and (b) Additions, improvements, modifications, replacements, rearrangements, reinstallations, renovations or alterations to capital assets that materially increase their value or useful life (not ordinary repairs and maintenance).
- **Capital expenditures** mean expenditures to acquire capital assets. Capital expenditures will be charged in the period in which the expenditure is incurred.
- **Acquisition cost** means the cost of the asset including the cost to ready the asset for its intended use. Acquisition cost for equipment, for example, means the net invoice price of the equipment, including the cost of any modifications, attachments, accessories, or auxiliary apparatus necessary to make it usable for the purpose for

which it is acquired. Acquisition costs for software includes those development costs capitalized in accordance with GAAP. Ancillary charges, such as taxes, duty, protective in transit insurance, freight, and installation may be included in the acquisition cost.

7.3 Inventory Control Requirements

A physical inventory of the field office must be taken, and the results reconciled with the field office records at least once every year, typically done at the end of each year. The FO Director will determine the monetary value threshold for accounting for inventory items.

Once a year the FO Director is responsible for completing “Master Equipment Listing” (sample will be provided by Partners HQ) that at minimum has the following information:

- A description of the equipment
- Acquisition value
- Acquisition date
- A model number or some other kind of tracking number
- Location of the equipment

The “Master Equipment Listing” is held in the field office and should only include:

- Tangible non-expendable property that was purchased with program funds
- Assets with useful life of more than one year
- Acquisition value that adheres to limits set by the FO Director. In the absence of specific value, the acquisition value should only include items above \$5,000 per item. However, the local laws or a set threshold by the FO Director take precedence and set the limits.

All purchased equipment over USD \$5,000 should be extracted from the “Master Equipment Listing” and sent to Partners HQ and labeled as “Equipment Listing for Field Office” for reconciliation purposes. Although equipment may be valued at less than USD \$5,000 and on the “Master Equipment Listing”, they should not be included in the “Equipment Listing for Field Office” sent to Partners HQ.

When booking field office inventory listings on field financial reports coding must be as follows:

- USD \$5,000+ - In-Country Equipment – 7440
- Less than USD \$5,000 – In-Country Supplies – 7455

8. Cash Management

8.1 Purpose and Scope

The purpose is to provide guidance on how field office cash is handled and managed. Any field office faces multiple risks related to cash, cash equivalents, and checks that are received, the greatest of which is loss or theft of funds. The best way to mitigate this risk is to keep funds secured, tracked and recorded. It is also important that the proper internal controls are in place to reduce the risk and temptation of fraud and to ensure transactions are recorded accurately in the field office's general ledger.

8.2 Office Cash

Because circumstances vary widely from office to office, local procedures and cash handling thresholds must be established for each office. These procedures should conform to the basic guidelines provided in this section. It is the responsibility of the FO Finance Manager to develop these procedures and provide appropriate training to staff. FO Directors should review and approve all local cash handling policies and procedures.

8.2.1 Petty Cash

This is an imprest system of cash control which is used for day-to-day expenditure of items less than a set amount as designated by the FO Finance Manager. The system is set up with a fixed float and the amount is determined by the FO Finance Manager in coordination with the FO Director, with approval first given by Partners HQ. Small expenditures are paid from this float. Unless otherwise delegated, the FO Finance Manager is responsible for the petty cash system. The system is reimbursed by the FO Finance Manager as required.

A petty cash file/log is to be maintained by the FO Finance Manager. Employees are able to access petty cash from the FO Finance Manager, but will not be able to access it without approval. The date and amount of petty cash taken must be recorded on the petty cash

file/log. The FO Finance Manager will complete the details of the expenditure and track all receipts associated with petty cash.

When the balance of the petty cash reaches a predetermined low level, the FO Finance Manager will reconcile the petty cash, ensuring that all receipts and vouchers are accounted for, and replace funds by drawing a check made out to petty cash. When petty cash is reimbursed by check, the transaction is recorded in the accounting software allocating each item to the appropriate line item.

8.3 General Cash Handling Policies

Below are the general guidelines that all field operations are required to meet in order to ensure compliance and safeguarding of cash.

8.3.1 Use of Safes

All offices are required to use a safe for the storage of office cash. Safes should be large enough so that they may not be easily removed and should be bolted down when possible. Safes should be discreetly placed and kept in locked or barred offices.

Access to the safe should be strictly controlled. A set of keys should be kept by the cashier or cash custodian only. A back-up set of keys should be kept by the FO Director. For further information please see Security below.

8.3.2 Establishing Minimum and Maximum Cash on Hand

A minimum and maximum amount of cash to be kept in the office should be established for each office and for each currency. These levels should be set by the FO Finance Manager in coordination with the FO Director and approved by Partners HQ and should be based on spending patterns and security considerations.

When cash drops below the minimum threshold, currency should be exchanged, or cash should be withdrawn from the bank to replenish the level of cash on hand. For security purposes, cash balances should not be maintained above the maximum threshold.

8.3.3 Minimizing Cash Transactions

Given the inherent risks associated with cash handling, field offices must always use other means of payment whenever possible, such as checks or wire transfers. To monitor cash payments, field offices must establish a maximum value for any single cash payment.

8.3.4 Evidence of Receipt by Payee

To prevent duplicate payments or claims of discrepancies, all cash payments must be documented by evidence of receipt by the payee. This means that the recipient of the payment must sign that the cash was received in total at the time of payment. A numbered receipt should be prepared in duplicate indicating the amount and date and should be signed by the recipient. One copy should be given to the payee and one copy should be retained and included with the voucher documentation. Offices may purchase pre-numbered receipt books available locally or may develop a form that is numbered in the office.

8.3.5 Periodic Cash Counts

Cash balances should be physically counted periodically to ensure that cash journal/receipts balances match the actual cash on hand. Cash counts should conform to the following general guidelines:

- Cash counts should be done discreetly, out of general view and should be undisturbed.
- Counts should be performed by a minimum of two people, preferably a member of Finance and the FO Director. One should serve as the counter and the other as a witness of the count.
- Cash counts should be performed both at regular intervals and randomly. The frequency for regular counts should be determined for each field office by the FO Finance Manager and should be based on the number of daily transactions, amount of cash kept on hand and other factors. Generally, counts will be performed once per month.
- Any overages or underages must be recorded in the cash journal at month end in order to reconcile to the final count. Discrepancies may not be held over to future periods. The cause for any overages or underages must be further researched and

appropriate action taken to ensure that it does not happen in the future. Depending on the severity of the situation, the FO Director should notify Partners HQ.

8.4 Exchange Rates

Partners HQ understands that exchange rates may fluctuate over the lifetime of a field office. Partners HQ requires that field offices operating in foreign currency provide evidence of the exchange rate during the period the expenditures take place (a bank receipt showing a conversion of currency may be a convenient way of satisfying this requirement.). Alternatively the OANDA or XE websites provide global currency exchange rates by date and is recommended: <http://www.oanda.com/> or <http://www.xe.com/>. Please note that any exchange rates used, must be certified by a proof from a bank, OANDA, or XE. Note that multiple methods may be used on one award. Regardless of the method used for calculating the exchange rate, the same method must be applied consistently throughout the lifetime of each contract/agreement. Below is a list of the different methods that can be used for the calculation of the exchange rates, provided that the same method is used consistently with each contract/agreement.

- Same Day Exchange Rate: The exchange rate used is based on the day the expense was incurred. Rate must be verified by a bank receipt or utilizing one of the above-mentioned websites OANDA or XE.
- Monthly Average: Utilizing one of the two above websites OANDA or XE, the average exchange rate from the 1st of the month to the end of the month is calculated. This rate is then applied to every expense in the month regardless of the exact day. This is often used when rates do not fluctuate significantly.
- First in First Out Method (FIFO): The exchange rate is given by the bank whenever a transfer is made to move funds from a dollar account to the local currency account. For example, a transfer is made of USD 10,000 at an exchange rate of 40 Pesos – all expenditures up to 400,000 Pesos are converted using the exchange rate of 40.
- Weighted Average: This is where the different rates of exchange for the period are averaged with consideration of the USD amounts being transferred each exchange. For example, rates of 45, 50, and 65 for amounts of USD 15,000, 5,000, and 10,000

respectively for a weighted average of 52.5 (calculated by multiplying each rate by the USD amount transferred at that rate, adding the three subtotals together, and dividing by 30,000, the total USD transferred). This provides a more realistic rate for the translations, particularly if rates fluctuate significantly in a month.

8.5 Bank Accounts

Each field office will be required to set up a bank account in country to receive project funds. FO Director will be required to request permission and approval in writing from either the President or Chief Financial Officer. Field bank accounts should be kept to the minimum number possible. Field offices will generally require a minimum of two general operating bank accounts: a U.S. dollar account and a local currency account. Each bank account should have a separate general ledger account, differentiated by sub-code.

Once approved, the new bank account should only be used for the purpose of the project and be in the name of the entity. Each bank account should have a minimum of two of signatories, the FO Director and an HQ staff member. Partners HQ also recommends that one additional field office employee be added as a signatory to maintain checks and balances. Note that the FO Finance Manager, who approves all the payments, should not be signing the checks, unless there is an immediate need and other signatories are not available.

Information on any new bank account must be sent to Partners HQ and at the minimum provide the following information: the name, type of account, and list of signatories on the account. Changes to the signatories on the account must be approved by the FO Director and notification should be provided to Partners HQ. Upon hiring or termination of employee with signatory power, the bank account signatories must be updated accordingly. Monthly bank statements will be received by the FO Finance Manager at the end of each month and these statements will be used to reconcile the accounts as described below.

8.5.1 Monthly Bank Account Reconciliations

All bank accounts must be reconciled to bank statements on a monthly basis in either local currency or USD. An official statement must be obtained from the bank for each account, regardless of whether any transactions took place during the month. If reconciliation is done

in local currency, then an exchange rate calculation of local currency to USD must be provided using one of the methods listed above in [8.4 Exchange Rates](#).

The purpose of the monthly bank reconciliation is to reconcile the balance shown on the bank statement with the ending balance on the bank journal. Partners HQ provides a template for all bank reconciliations and coinciding field financial reports. The form should not be used to restate the monthly bank activity, but should be used to show any outstanding transactions that occurred during the month but have not yet been reflected on the bank statement. The prior month's bank reconciliation must be checked for any items that still remain outstanding. Transactions that remain uncleared from previous months should be promptly researched with the bank or the payee. Once the full bank reconciliation is completed, the FO Finance Manager will be responsible for submitting to Partners HQ the following: bank reconciliation, copy of the bank statement, and a full financial field report. Partners HQ will spot check expenditures and request copies of supporting documentation as necessary during its review process.

8.6 Cash Flow Advances

Field offices may request up to 30 days of cash needs based on the monthly cash flow projection. Cash may be drawn once a month on the first of the month. Offices in highly insecure locations should request smaller amounts more often to minimize the amount of cash on hand. A cash flow request must be used for all cash requests to Partners HQ. Funding requests should be sent to Partners HQ by the 7th of the month to be processed on mid-month wire and check release cycle. Field offices should plan enough lead time when requesting cash to take into account the wire processing time by the bank and HQ F&A team. Cash flow advances must be cleared monthly through submission of a financial report that is submitted to Partners HQ with a bank statement and bank reconciliation. Often times the cash flow advances will not clear entirely each month, and therefore any leftover funds should be taken into consideration as cash on hand when determining the next month's cash flow request.

8.6.1 Excess Cash on Hand

Excess funds is defined as cash in excess of 60 days' working needs, that has accumulated in a field office, which should generally be transferred back to Partners HQ for safekeeping.

Field offices should consult with Partners HQ before converting local currency back to U.S. dollars to avoid significant exchange losses or the violation of donor regulations. However, having an excess of funds in the field can pose a risk and therefore must be discussed with Partners HQ.

9. Payroll Systems

9.1 Purpose and Scope

The purpose of a proper payroll system is to process data to produce accurate and timely payment of salary/wages of employees. Employee compensation is typically the single largest expense for any office therefore careful attention to all aspects of payroll and compensation related matters is critical to effective financial as well as human resources management.

9.2 Timesheets & Payroll

The FO Finance Manager and FO Director should obtain a strong understanding of local labor law, employee/employer tax law and other legally required employee benefits in order to ensure Partners HQ compliance.

All employees, whether part or full time should complete timesheets in order to receive compensation for time worked. All Field Offices will record time using the Replicon platform at <https://www.replicon.com>. Time records are legal documents and the basic source of information for payroll purposes; therefore, time worked must be reflected accurately. All staff is responsible for approving their timesheet to certify the accuracy of all time recorded. Each supervisor will review for accuracy and approve the time sheets after the employee submits. Compensation to all employees will be based on the approved time sheets only. All tax and other required deductions as mandated by local law will be withheld from each paycheck. All local laws regarding payroll should be adhered to when processing payroll.

Employees ending their employment with Partners' field office are required to submit all outstanding timesheets to the FO Finance Manager on their final day in the field. This is critical for the accurate calculation of final pay.

9.6 Pay Slips (Paystubs)

All employees should receive a pay slip with their salary payment (regardless of method of payment) that documents the details of the payment. The format of pay slips is not prescribed in this manual since local requirements vary widely and use of local language may be necessary. At a minimum, pay slips should include the following information:

1. Name of employee
2. Period to which the payment applies
3. Units, rate, and extended amount of gross salary or wage payments
4. Units, rate, extended amount and description for each additional category of pay
5. Units, rate, extended amount and description for each deduction
6. Taxes withheld on behalf of the government or other taxation authority
7. Subtotaled net pay amount

The pay slips are completed using information from the reviewed and approved monthly payroll timesheets.

9.3 Benefits Accruals

In order to ensure compliance, the FO Director and FO Finance Manager are responsible for following all local laws regarding benefits and benefit accruals.

Some types of benefits may be paid out directly when they are earned, such as health benefits (dependent on local labor laws). These types of benefits should be recorded as an expense directly in the period in which they are earned and paid.

Other benefits, such as severance pay, are earned over time and will only be paid out at a later date as defined by policy. In order to reflect the future commitment to pay as well as the proper allocation of the expense to projects, these types of benefits should be accrued monthly on the books. The amount that is earned each month should be calculated and recorded as an expense and, since no funds will actually be disbursed until the benefit is paid out in the future, an offsetting liability should be set up on the balance sheet. When the benefit is eventually paid, the payment will clear the liability account.

It is the responsibility of the FO Finance Manager to analyze the field office staff benefits package to determine if a benefit should be accrued. HQ F&A team can assist in this determination if needed. It is also the responsibility of the FO Finance Manager to ensure that benefits accruals are well documented. Because the documentation may carry forward over an extended period of time, it is important that accrual worksheets are clear and well documented. Accrual accounts should be reconciled monthly.

It is currently not Partners HQ practice to book accrued leave or vacation pay in field offices. Vacation is expected to be taken regularly once earned (in accordance with local laws) and should not represent a material payout at the end of field office employee's tenure. All vacation and leave policies must contain a maximum accrual cap to prevent excessive accumulation of vacation or leave pay. In field offices where the payout of vacation or leave pay may represent a material amount due to local law or policy, HQ F&A team should be contacted for assistance in establishing an accrual methodology

9.4 Payroll & Leave Advances

No payroll advances are allowed. Payroll is issued after the hours worked are completed and done. Furthermore, no advance leave for vacation, sick, or other leave may be taken.

9.5 Time Off & Paid Leave

The FO Finance Manager and FO Director are responsible for adhering to all local labor laws regarding paid leave and time off including vacation, sick, and all other types of paid leave.

9.6 Holidays

All field office should adhere to local holidays. At the beginning of the year, the FO Finance Manager is responsible for issuing the list of observed holidays that follows local laws. In countries where the law requires, employees should be compensated for the Aguinaldo or 13th month salary, 14th month salary, etc. as applicable in accordance with local laws.

9.7 Payroll Timing

The timing of field office staff payroll payments should be in keeping with the normal practice in country or as required by local labor law. Typically, the payroll cycle will be monthly, with payments being made in the week following the month end. The timing should

take into account the complexity and magnitude of the transactions, but payment should take place as soon as possible after the end of the calendar month. Field offices should establish regular pay dates when employees can expect to be paid. Payroll may not be paid prior to the end of the period in which the pay was earned, except on a case by case basis as approved by the Partners HQ.

10. Employees

10.1 Purpose and Scope

The purpose is to provide procedures and guidance for the recruitment and hiring of employees, as well as the termination of existing personnel and the related records.

10.2 Job Descriptions

All permanent field staff positions should have job descriptions that are established, accurate and up to date. Job descriptions should reflect the actual work undertaken and should clearly outline the expectations of the worker employed in that position. A copy of the job description should be provided to each staff member when they commence work.

At times the employee supervisor should give feedback to their staff member based on a comparison of their work performance and the expectations in the job description. Partners recommends that this be in correlation with midterm or yearly performance reviews. Job descriptions should be used in the performance appraisal process to assess the employee's achievements and performance in accordance with the process established by the FO Director.

Should the field office choose to alter the duties and responsibilities for a particular position, the job description should be subsequently altered. The decision to alter a job description must be made by the FO Director and employee's supervisor. If the resulting decision has budget implications, approval is also required from Partners HQ.

10.3 Recruitment & Hiring of Personnel

In order to support promotion within the organization as much as possible, internal recruitment and promotion is encouraged when the vacant position may be filled by any

employee who is interested and who, after assessment, meets the requirements to fill the vacancy. If a promotion is made internally, the employee may be eligible for a salary increase and other changes as determined by the new position.

When external recruitment for a vacancy is needed, the job offer should be actively advertised and promoted locally and internationally. The advertisement should be clear, accurate and brief, but should also provide terms of reference, necessary training and experience, and how to submit an application.

Both internal and/or external candidates should be reviewed and interviewed for the following criteria at a minimum:

- Qualifications in relation to the profile of the posted position
- Past experience
- Responsibility and ability to perform the duties of the position
- Communication skills

Note: some projects will require specific qualification/requirements before hiring any Key Personnel. Any specific donor requirements should be followed when hiring any personnel.

Once an evaluation and interview of all final candidates is completed, the highest scored candidate should be provided the offer letter/agreement. All offer letters/agreements should, at a minimum, be signed by both the employee and FO Director.

All new employees are subject to a probationary period as determined by local law. In absence of local laws on probationary periods, 90 days will be the time period. During this trial period he/she may terminate his/her services without notice. Before the end of the probationary period, the candidate will be evaluated and if he/she does not meet the requirements of the position he/she may be terminated; however, they will be compensated for all time worked.

10.4 Termination of Personnel

When possible, the FO Director will provide prior notice to employees who will be terminated; however, it is not required unless otherwise mandated by local law. The field office requests that if an employee resigns, notice be given in accordance with local law to

assist the field office in the transition. All exiting employees should be provided with an exit memo/letter that indicates important closure information and information on termination of benefits.

As Partners HQ and its field offices are committed to a positive and constructive work environment and welcomes the feedback of field office staff exiting from the field office, it is recommended that when possible, the FO Director and/or the employee's supervisor complete an exit interview.

10.5 Personnel Records

Individual personnel folders/files should be maintained for all employees. All information pertaining to the recruitment, hiring, all changes, and termination of an employee should reside in this folder. Any required documents/provisions from the donor should also be included in the personnel record. Partners HQ and its field offices reserve the right to verify the authenticity of any document submitted by the employee. All information provided by the employee is, and remains, confidential, and the documents in his/her file may not in any way be accessed by unauthorized personnel. The folders should be stored in a secure location in which only the FO Director and FO Finance Director (unless other individual handles Human Resource issues) have access.

11. Consultants

11.1 Purpose and Scope

This section prescribes policies and procedures on the contracting of consultants and provides guidance for selecting a contract type appropriate to the circumstances of each scope of work.

11.2 Description of Consultant

A Consultant is an independent contractor engaged by Partners HQ or field office to provide professional or technical advice or services. A consultant is typically a self-employed individual, but may be employed by a consulting firm. Consultants are professional experts hired on a short-term basis only for the completion of specific tasks and assignments related

to one or more projects. Separate and limited contracts, defining their job description, timeline, deliverables, reporting procedures and payment details will be issued to all consultants. They will be paid on daily/weekly/monthly /fixed price/etc. basis depending upon the nature of their assignment. They will not be considered as full-time or part-time employees of the field office, rather as independent contractors. All consultants as independent contractors accept responsibility for all personal local, state, federal, social security, and other taxes or fines that he/she may incur as a result of the consultant agreement. No consultant agreement should be signed for an end date later than the program end date. Termination clauses in the agreements should be clearly outlined. Modification may be made to existing consulting agreements, pending there is valid justification that is approved by the FO Director.

11.3 Types of Contracts

Upon the creation of a consultancy opportunity, the FO Director must determine what type of payment structure for the contract will be needed, based on the work perform. The following types of contracts are available:

- **Fixed Price** – Fixed Price consultant agreements are used mainly for assignments in which the content and length of the services and the required output of the consultant are precisely specific and for these reasons the consultant can generally control the scope of work and duration of services. Under a fixed price agreement, the field office agrees to pay the consultant a predetermined set amount of money for certain products of specified technical natures, such as reports, project designs, etc. that is to be delivered within a specified deadline, the quality of which can usually be readily assessed. Fixed-price agreements provides for a price that is not subject to any adjustment on the basis of the consultant's cost experience in performing the contract. It provides maximum incentive for the consultant to control costs and perform effectively.
- **Time- Based (Hourly, Weekly, Monthly, etc.)** – In a time, based consultant agreement, the consultant provides services at a pre-determined time-based unit rate and

records all hours worked under the scope of work. Time based consultant agreements are recommended when the nature and scope of the services provided are such that a scope of work is general guidelines for the activities to be performed and when it becomes difficult to determine the exact time with sufficient precision, which is common in complex scope of works.

12. Risk Assessments & Contractor/Sub-recipient Monitoring

12.1 Purpose and Scope

The purpose is to set the guidelines pertaining to the programmatic and financial monitoring and evaluation of contractor/sub-recipients. Risk assessment should be part of the preparation and administration of contractor/sub-recipient agreements and part of ongoing monitoring and evaluation process to assure compliance with Partners HQ and donor's requirements.

12.2 Risk Assessment Guidelines & Process

Partners HQ risk assessment validates that potential contractors/sub-recipients are viable, legitimate businesses and confirms that they have the financial capability and organizational resources to provide the required services. At the same time, it makes sure that contractor/sub-recipients are not engaged in questionable ethical or legal activities. Successful contractor/ sub-recipient risk assessment programs will save staff time, resources and money by significantly reducing the number of problems related to contractor/ sub-recipient's non-performance or fraud and assists in smooth program performance.

Partners HQ requires field offices to have set monitoring and evaluation efforts in place to ensure proper stewardship of funds for all contractors/sub-recipients. The risk assessment process includes pre-award review and first-time verification and then once awarded, continuing monitoring and evaluation during the life of the contractor/sub-recipient. Partners HQ will provide a Risk Assessment tool, which provides the categories and rating system for evaluation for both first time assessment and ongoing M&E assessment. While

field offices are not required to use this tool and may use a similar version, it is highly recommended that it is used. Regardless of the risk assessment tool/system, the process should accurately determine initial risk and have a process for ongoing monitoring and evaluation. All records and documentation related to risk assessment and/or contractor/sub-recipient monitoring should be filed in the contractor/sub-recipient folder and accessible for audits.

12.3 Frequency of Risk Assessment

The required risk assessments should be performed in preparation of all contractor/sub-recipient agreements. For ongoing contractor/sub-recipient monitoring activities, their frequency is to be determined by the FO Director. While the frequency of ongoing monitoring activities is at the discretion of the FO Director, continued contractor/sub-recipient risk evaluation should be performed at a minimum once per year.

13. Procurement

13.1 Purpose and Scope

The purpose of this policy is to ensure the highest level of procurement integrity is consistently observed throughout the field office while acquiring goods, supplies and services. The procurement policy is to prevent conflict of interest, facilitate open and free competition, ensure that cost analysis is conducted and that all contracts include clauses that protect the organization contractually, and provide for legal remedies where it is applicable.

13.2 Procurement Policy

Partners HQ and its field offices aim to avoid purchasing unnecessary items/services. Field offices should ensure all solicitations where applicable should provide for:

- Clear and accurate description of item being procured.
- Clear instructions on the checklist that bidders must fulfill in order to do business with the field office.
- Clear due diligence conducted on the contractor to ensure that they are not barred from doing business with the US Government or on a blocked persons list. (Reference Suspension and Debarment section)

Procurements shall not be divided or otherwise structured to avoid the requirements under this Policy.

13.3 Procurement Process

The FO Director will set the threshold for which procurement is required; however, in no instance may this threshold be set at \$5,000 USD or above. All transactions above the threshold should have a full procurement on goods and services to the maximum extent practical. It is required that an appropriate competitive process be utilized and fully documented (e.g., market research for commodities/off-the shelf items; three quotes for lower expected values; full and open competition/tender for higher expected values, etc.) At minimum, a proper procurement process requires:

- Specifications, scope of work or technical requirements for the goods or services to be purchased.
- A defined criterion for selecting a good or service provider (e.g., price, capacity to deliver on time, quality of output, past performance where applicable, etc.).
- Approval from the donor to make the purchase when required.
- Solicitations of three (3) quotes or request for proposals from a pool of qualified providers or candidates.
 - In the absence of three submitted quotes or proposals, then a clearly documented memo for justification demonstrating that efforts were taken to obtain three quotes or proposals must be prepared and submitted as part of the procurement documentation.
- A memo that clearly documents the approved bid/proposal and analysis that documents the “procurement story” behind how the preferred supplier was selected and how the evaluation criteria was utilized.

In rare circumstances a sole source transaction may be permitted. A sole source transaction is one that normally would require full procurement; however, given certain circumstance, the purchase will be approved without full and open competition. This approval can only be forthcoming in writing from FO Finance Manager or FO Director. Field offices should only consider sole source procurements in cases where there is clear evidence that the work is

“so specialized” in nature that there is only one entity that could complete it. When an Employee, Representative or Affiliate proposes sole source procurement, he/she must provide clear written justification documenting the process and efforts used for determining that there are no other qualified providers.

Sole source awards for commonly available goods and services like hotels, travel services, vehicles, translators, accountants, etc. are ordinarily difficult to justify and will require a persuasive argument in support of the award. Similarly, engaging consultants cannot be justified solely on the basis that they are specialized because they provide personalized technical services; engaging a consultant by sole source must be justified by a written explanation of the Consultant’s unique qualification that sets them apart from other potentially qualified candidates and along with appropriate documentation. Sole source procurement justifications will require the approval of the FO Finance Manager or FO Director.

13.4 Guidelines for Procurement

Below are guidelines to follow when procuring any services or goods:

- The Separation of duties throughout the procurement process must be strictly enforced. At the minimum, the person initiating the procurement request and managing the invitation for quotation, bids or tenders, must be different from the person approving the procurement and signing the contract.
- Employees, Representatives and Affiliates participating in a procurement process must not disclose information related to provider quotes, bids/proposals or other sensitive information.
- Avoid conflict of interest in procurement. A conflict can occur in any situation where a provider may be perceived to be shown unfair favoritism due to a relationship or other connection to an Employee, Representative or Affiliate. If a conflict of interest is discovered and not previously disclosed the bidder may be disqualified or there may be a re-compete for bids. Examples of conflicts of interest may include, but are not limited to:

- Financial conflicts: A conflict where an Employee, Representative or Affiliate involved in procurement has a financial interest in a potential provider (i.e. a bidder).
- Personal conflicts: A conflict where an Employee, Representative or Affiliate involved in procurement has a friend or family member who works for, or otherwise has an interest in, a potential provider. Family member includes spouse, children, parents, grandparents, grandchildren, siblings and siblings' immediate families including their spouses and children.
- Employment offers: A conflict where an Employee, Representative or Affiliate involved in procurement has a job offer, or was a former employee of a potential provider.
- The risk of fraud and corruption in procurement is often signaled by certain indicators. When planning or undertaking procurement, Employees, Representatives and Affiliates should be mindful of the following Red Flags:
 - Directed Procurements: When a client or agency insists on a particular vendor, it may be an indication of a corrupt or fraudulent arrangement. Steps should be taken to mitigate this risk.
 - Influential Vendors: Where due diligence or some other mechanism reveals that a vendor is politically connected or otherwise influential, there is a risk that a transaction with the vendor may appear improper.
 - Unusual Vendor Requests: Vendors that request accommodations or special arrangements for payment or delivery should be evaluated as a potential fraud or corruption risk.

14. Travel Policies and Procedures

14.1 Purpose and Scope

The main purpose is to manage a travel process that is fully compliant with the rules and regulations of Partners HQ and donor's procedures. The goal is to increase accountability through full and timely clearance of all travel expenditures.

14.2 Requesting Travel Authorization

Staff considering a trip should discuss it with his/her supervisor as to the need for the trip, activities to be conducted, funding for related costs, expectations, etc. Subsequently, a formal request for the authorization or approval of travel must be submitted. The employee must submit a Travel Authorization (TA) with proper authorization from supervisors for all travel.

The TA at a minimum should include the following:

- Traveler's Full Name on Passport
- Purpose of the Trip/ Scope of Work to be Performed
- Dates of Travel
- Proposed Itinerary
- Signature of Authorization from Supervisor

14.3 Travel Advances

While the policy is to only to make payments after goods and services have been supplied and conditions for payment met, advances will be made for staff going on work related travel. Staff travel advances should be requested before a trip and the request must be sign off on by the appropriate supervisor. Advances are paid to staff prior to an approved trip for any travel related costs. The advance paid is based on an estimated cost of the trip. The advance request should be given to the appropriate supervisor for approval in collaboration with the FO Director. Advances must be cleared within the time designated by the FO Director in the field office travel policy; however, the time period cannot exceed 30 days after the end of a trip. No travel advances may be issued to employees with previous outstanding travel advances.

14.4 Travel & Fly America Act Compliance

All US government-funded travel will comply with the Fly America Act, which requires that all travel and shipments must be made on U.S. flag carriers to the extent services by such carriers is available. Use of a Fly America compliant carrier is required regardless of whether a foreign carrier can provide the service at a comparable or lower cost, or whether a foreign carrier is preferred due to convenience. The rules provide for a limited number of exceptions, such as when a U.S. carrier is unavailable. In general, however, a U.S. carrier must

be used for any travel: 1) within the U.S., or 2) between the U.S. and the last destination point that is served by a U.S. carrier for that particular routing. While there are some exceptions to this Act, only the FO Director can sign off on any exception cases. All travel should be booked through the designated travel agent/agency. The FO Director is responsible for providing further information on booking of travel.

14.5 Travel Expenditures

The FO Director will be responsible for setting up a policy on the clearing of travel expenditures through either an expense report or on a per diem basis. Regardless of the method used, documentation for all expenditures must be retained.

15. Security and Facilities Management

15.1 Purpose and Scope

The purpose of security and facilities management is to address the maintenance and upkeep of physical facilities as well as ensure the security of all company assets and employees.

15.2 Facilities Management

All Partners field offices are expected to manage and get the necessary maintenance to ensure upkeep of all physical facilities. In addition, they should ensure that all local laws regarding buildings code or regulations are followed.

15.3 Security

Partners HQ understands that it is important to ensure security of all field office assets and personnel; therefore, necessary and reasonable expenses incurred for routine and security to protect facilities, personnel, and work products are allowable. Such costs include, but are not limited to, wages and uniforms of personnel engaged in security activities; equipment; barriers; protective (non-military) gear, devices, and equipment; contractual security services; and consultants.

Physical security of assets requires that access to assets be limited to authorized personnel. Access to confidential files, software, accounting records, etc. should be limited through the

use of physical controls. Use of protected passwords and separate logins are recommended for all accounting software to ensure only authorized personnel have access to the information. Storage facilities with confidential information, inventories, etc. should be locked with keys given to only designated personnel. Fireproof safes/vaults are recommended for petty cash and others monetary funds on site. These should be locked in a safe/vault and limit the number of employees who can access it.

16. Financial Closing Cycles and Headquarter Reporting

16.1 Purpose and Scope

The purpose of closing the monthly financial books and headquarter reporting is to ensure timely and accurate financial reporting to program donors.

16.2 Financial Closing Cycles

All field offices and their sub-awardees that report back should close the previous month's financial books in a timely manner. Before the financial close each month, the FO Finance Manager is responsible for ensuring that all cash receipts, cash disbursements, and all other entries that occurred in that month are recorded accurately in the accounting software.

16.3 Headquarter Reporting

All financial reports for both the field offices and all sub-awardees must be submitted to Partners HQ by the 7th of the following month. If the 7th of the month falls on a holiday or weekend, the submission deadline is the last business day prior to the 7th. Compliance with this timeline is critical to ensure expenditures are recorded in the correct month. If there are any delays or issues with meeting the deadline, field staff must immediately notify Partners HQ of the delay and provide an explanation for the nature of the delay.

17. Opening and Closure of Field Offices

17.1 Purpose and Scope

The section offers a broad framework for performing the administrative function for opening and closing a field office.

17.2 Approval & Registration of Field Office

Upon receipt of a Federal award or grant, a field office may be established in a foreign country to facilitate the administration of the grant objectives and in country financial matters. When setting up an office in a foreign location, field offices will conform to all local laws and regulations for employment, banking, insurance and payments to subcontractors and individuals as well as established Partners HQ internal guidelines.

The FO Director's authority to open bank accounts on behalf of the field office must be approved in writing by the President or Chief Financial Officer of Partners HQ.

17.3 Budget, Procurement and Insurance Issues

Prior to the opening of the field office, the designated FO Director will submit a budget for field office operations linked to the budget approved by the Federal award or grant.

Field offices will follow the Partners HQ Procurement policy as defined in [Chapter 13](#) of this manual.

Field offices will maintain adequate insurance coverage for office premises, employees and operations as required by local laws and regulations.

17.4 Staffing

Field office staffing requirements are determined by the staffing approved in the Federal award or grant. The FO Director will be hired in accordance with the award guidelines and either be hired by Partners HQ or the field office. Field office staffing may also be permitted by the Federal award or grant. The hire of field office staff requires the approval in writing of the President or Chief Financial Officer of Partners HQ as well as the approval of the FO Director. In the case of local hires, Partners HQ and the field office is required to comply with all local labor and benefit laws and regulations.

17.5 Facilities Management

Field offices should wherever possible follow the Partners HQ Facilities Management policy as defined in [Chapter 15](#) of this manual.

17.6 Post-Opening Monitoring and Review

The activities of Partners HQ field offices are subject to monitoring and review by Partners HQ, our independent auditors and the cognizant agency for the Federal award or grant. All expenditures of Federal funds should be ordinary, reasonable and necessary to the performance of the award. All expenditures of Federal awards and grants are subject to the cost principles detailed in 2 CRF 200, Subpart E, General Provisions for Selected Items of Cost- Section 200.420-200.475.

Field offices funded by Federal awards and grants must relate financial data to the performance accomplishments of the award. Upon receipt of the award, the HQ F&A team will assign internal budget codes for the project and provide this information to the field office. All financial transactions must be coded utilizing the assigned budget codes. Supporting documentation for all transactions in the form of original invoices or documentation is required and should be retained by the field office in accordance with Partners HQ Records Retention policy (see [6.2 Records Retention and Accounting](#)). Monthly financial reporting in the required Partners HQ format is required and should be submitted by the due dates as established by Partners HQ in [Chapter 16](#). In addition, periodic financial and programmatic reports as required by the Federal grant or award must be completed on a timely basis. Monthly bank reconciliations should be performed for all bank accounts and submitted with the monthly reports.

Partners HQ will provide timely grant management support including developing the grant budget and monitoring spending to ensure compliance with the budget and to prevent overspending. Also, there shall be independent field office site visits and internal audit reviews to spot-check that the policies and procedures are being followed. This spot check must include a periodic surprise cash count.

17.7 Project Closing

To facilitate a smooth closure, the field office should begin planning the closure of operations six months prior to the end of the Federal grant or award period. The field office will coordinate these activities with Partners HQ staff. Actual closing activities will begin 60-90 days prior to the end date of the Federal grant or award. Financial close out including the

request for final invoices, disposal of property and final reporting should be performed during this period. Termination dates for Subcontractors and employees should be provided in writing and as required by local laws and regulations. Notice should be provided to banks requesting closure of accounts on the last day of the project and directing the transfer of any remaining funds to Partners HQ's bank accounts as designated by HQ F&A team. An inventory of fixed assets and office supplies should be performed.

17.8 Disposal of Fixed Assets

A disposal plan is prepared and finalized outlining how the fixed assets are disposed. All items that are not fully capitalized will be expensed to the books before it is disposed of and the loss recognized in the general ledger.

The agreement titling the property in the host country ordinarily provides specific disposal instructions and such provisions must be observed. In the absence of any written disposal instruction, the disposal plan is agreed with the donor and FO Director and executed accordingly. If project-funded property with the title vested in USG is sold, the proceeds of the sale must be deposited back to project and program income, unless there are other instructions from the donor. This disposal plan must be left with the records for auditing purposes if needed after the project is closed.

Partners HQ should contact the Agreement Officer for the Federal grant six months prior to the end of the Federal grant or award for specific instruction on the disposal of property purchased with Federal grant funds. The disposition of fixed assets should be coordinated with Partners HQ.

17.9 Financial Closure

The field office should make all final payments to all local agencies, vendors and subcontractors prior to closing in-country bank accounts. A final bank reconciliation will be performed, and all remaining funds will be transferred within 30 days to Partners HQ's bank accounts as directed by the HQ F&A team. The field office will submit a final financial report to Partners HQ within 60 days of the closure. Partners HQ should contact the Federal grant Agreement Officer to request a meeting within 90 days of closure to review and determine that all grant activities and audits have been completed in accordance with the agreement,

and that any financial and technical reports that are due will be reconciled to ensure the refund to the Federal agency of any unobligated funds.

17.10 Closing Employee Contract Obligations

The FO Director should contact the Human Resources department at Partners HQ six months prior to the end of the Federal grant or award and office closure to ensure that all employee contract obligations are met in a timely manner. All employment contracts should be terminated in accordance with all local laws.